SIL PROCUREMENT, SUPPLY CHAIN & INVENTORY

Finance

For finance officers, accountants and the finance manager

User manual · 28 October 2026

Figures, limits and approval chains are the system defaults; your hospital may have changed them.

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Finance (finance officers, accountants and the finance manager)

For the **Finance / Accounts** role (supplier invoices, payment vouchers, releasing payments, M-PESA reconciliation, QuickBooks, petty cash floats) and the **Finance manager** (also approves orders, invoices, payments, petty cash and replenishments, and edits approval workflows). Read Getting started first. The float **custodian**'s daily work is in Petty cash custodian.

Your menu: *Procurement* (Purchase orders, Invoices, Budgets), *Payments* (Payables, Payment vouchers, Petty cash, Petty cash floats, M-PESA reconciliation), *Pharmacy & billing* (Accounts & currencies, QuickBooks, Sales & receipts, Tax & eTIMS reports, KRA eTIMS), *Reports*.

Segregation of duties is enforced:

- whoever captures an invoice, prepares a voucher or raises a request can't approve it;
- the person who **releases** a payment can't be its preparer or one of its approvers;
- every blocked attempt is refused and written to the audit log.

So at least **two finance users** are needed (in the sample data, `finance` and `accountant`), plus the finance manager.

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1. Supplier invoices (*Procurement → Invoices*)

Capturing

1. Open the **purchase order** → *Capture invoice*. Invoices are always captured against an order.
2. Enter the supplier's invoice number (unique per supplier), invoice date, due date, and for each line the quantity and price invoiced. Attach the invoice scan.
3. *Capture and match*. The **three-way match** compares each line with the order and with what was received (GRN, or the acceptance certificate for services):

Flag	Meaning
Not received	Invoiced, but nothing received or accepted yet
Invoiced > received	More invoiced (including earlier invoices) than received
Invoiced > ordered	More invoiced than ordered
Price variance	Price differs from the order beyond the tolerance (2 %, plus an absolute limit if set)
NOT_ON_ETIMS	The supplier hasn't declared this sale on KRA eTIMS

4. *Re-run match* after a late GRN or acceptance. *Submit for approval*.

Foreign-currency invoices use the order's currency at the invoice-date rate and keep a KES **base total**. **Withholding tax** (from the order lines) is shown with the **net payable**; it is deducted at payment.

Approval

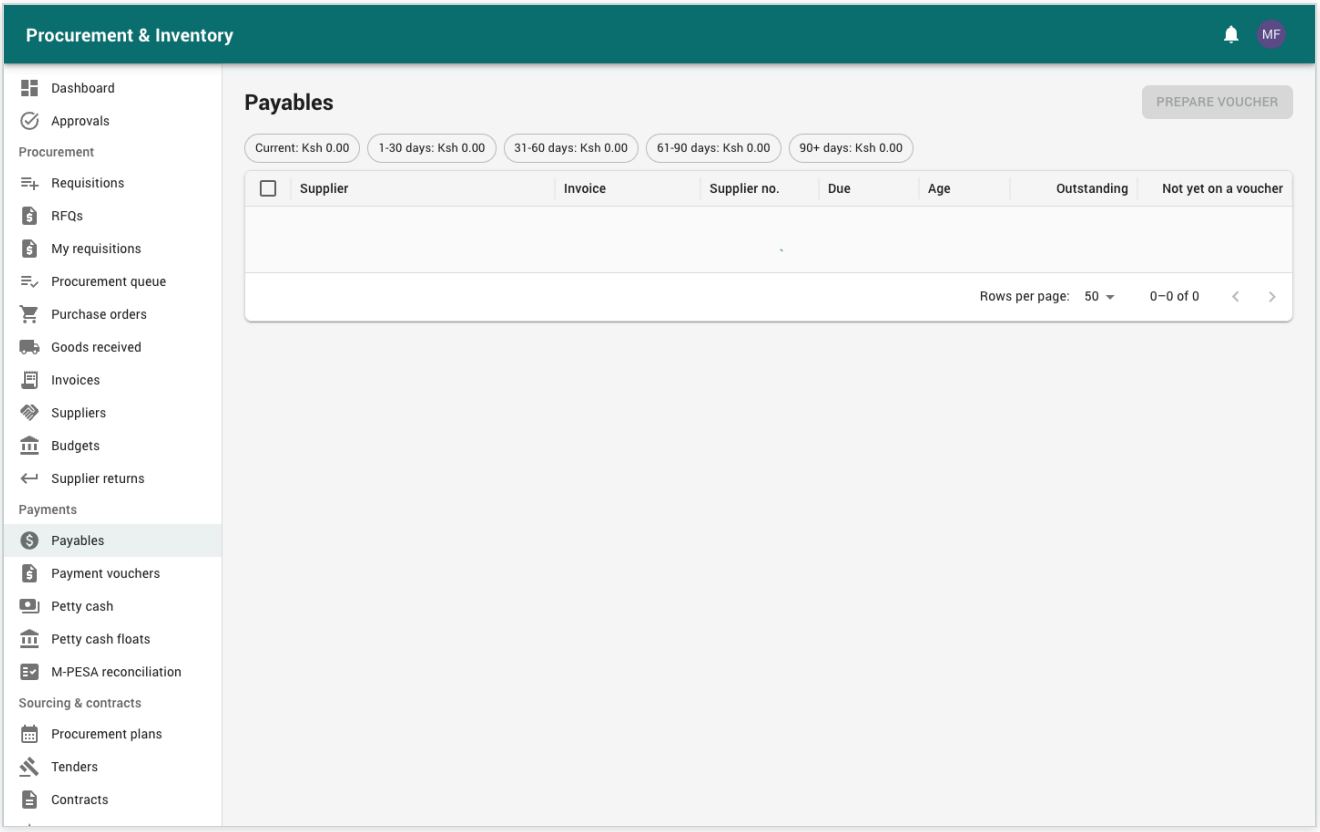
- Exceptions (any variance) go through the approval workflow (Finance).
- Your hospital may auto-approve invoices that match within tolerance.
- Approval books the **actual** against the budget and releases the commitment.

Statuses: Captured → Pending approval → Approved → Scheduled → Partially paid → **Paid**; also Rejected, Returned, Cancelled. When an order is fully received and invoiced, it becomes **Invoiced**; when its invoices are paid, **Paid**.

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2. Paying suppliers

Payables (*Payments → Payables*)



Payables with the ageing buckets and Prepare voucher

Approved invoices still owed: outstanding amount, amount not yet on a voucher, due date and **ageing** (current, 1–30, 31–60, 61–90, 90+ days).

Preparing a payment voucher (preparer)

1. Tick **one supplier's** invoices in **one currency** → *Prepare voucher*.
2. For each invoice: pay in full or in part. WHT is deducted in proportion. The voucher shows the amount settled, the **WHT** and the **cash paid to the supplier**.
3. *Pay by*:

- bank transfer (EFT), cheque, cash;
- **M-PESA PayBill** (business number + account number);
- **M-PESA Till** (buy goods);
- **M-PESA B2C** (phone number; entered as 07…, 2547… or +2547…).

M-PESA pays KES in **whole shillings** only.

4. *Submit for approval*. The invoices become **Scheduled**. An invoice can't be put on more vouchers than it has left to pay.

Approval (default)

Amount	Approvers
Up to 1,000,000	Finance manager
Above 1,000,000	Finance manager → Hospital management

Releasing (releaser: a different finance user)

1. Open the **approved** voucher.
2. - **Bank / cheque / cash**: *Record payment* with the bank reference or cheque number.
   - **M-PESA**: *Send via M-PESA*.
3. The invoices' paid amounts update (Partially paid / Paid).

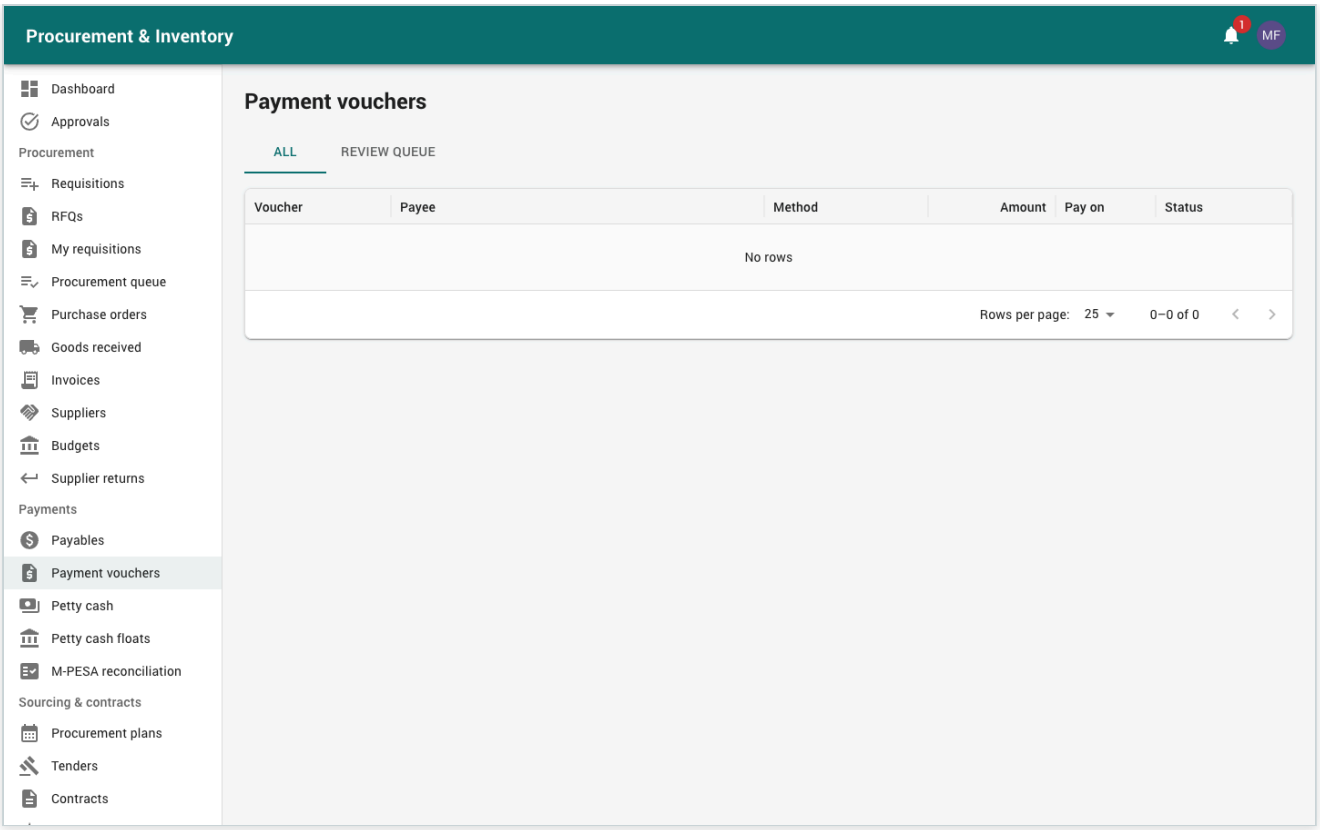
Release is **blocked** until every approval level is complete, and for the preparer and the approvers. *Cancel voucher* is possible before release.

What happens with M-PESA

Result	Voucher
M-PESA confirms	**Paid**, with the M-PESA receipt, recipient name and charges
Refused (wrong number, no funds…)	**Failed**: nothing was sent. Fix the cause and *Send again via M-PESA*
No answer	**Processing**: the system asks M-PESA for the status every few minutes. If it was never processed it is sent again (up to 3 times)
Still unknown after 6 checks	**Review**: nothing more is sent until someone resolves it

A payment is never sent twice. Double clicks and second releases are refused (`ALREADY_DISPATCHED`).

Review queue (*Payments → Payment vouchers → Review queue*, reconcilers)



Payment vouchers, with the review queue

Check the **M-PESA statement** first, then *Resolve*:

- **Paid**: enter the M-PESA receipt; or
- **Not paid**: frees the voucher for a fresh attempt.

Never pay again before you have checked the statement. Every resolution is audited. *Check pending payments now* asks M-PESA about every payment still waiting.

Reversal: *Reverse on M-PESA* (with a reason). When M-PESA confirms, the voucher is Reversed and the invoices are owed again.

The voucher **PDF** prints the invoices, WHT, net amount and approval signatures.

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3. M-PESA reconciliation (*Payments → M-PESA reconciliation*)

1. Export the organisation **statement CSV** from the M-PESA portal (Receipt No., Completion Time, Details, Paid In, Withdrawn) → *Import* (upload or paste). Re-importing is safe.
2. *Reconcile* a day or a date range (the previous day is reconciled automatically at 06:00).

Exceptions to work through:

Exception	Meaning
`NOT_ON_STATEMENT`	Paid here but not on the statement
`AMOUNT_MISMATCH`	Receipt found, different amount

Exception	Meaning
`NOT_IN_SYSTEM`	A withdrawal on the statement this system didn't make
`STATUS_MISMATCH`	On the statement, but recorded here as failed or unknown: resolve it as paid
`PENDING`	No result yet

Charges are totalled separately. Supplier payments and petty cash are both covered.

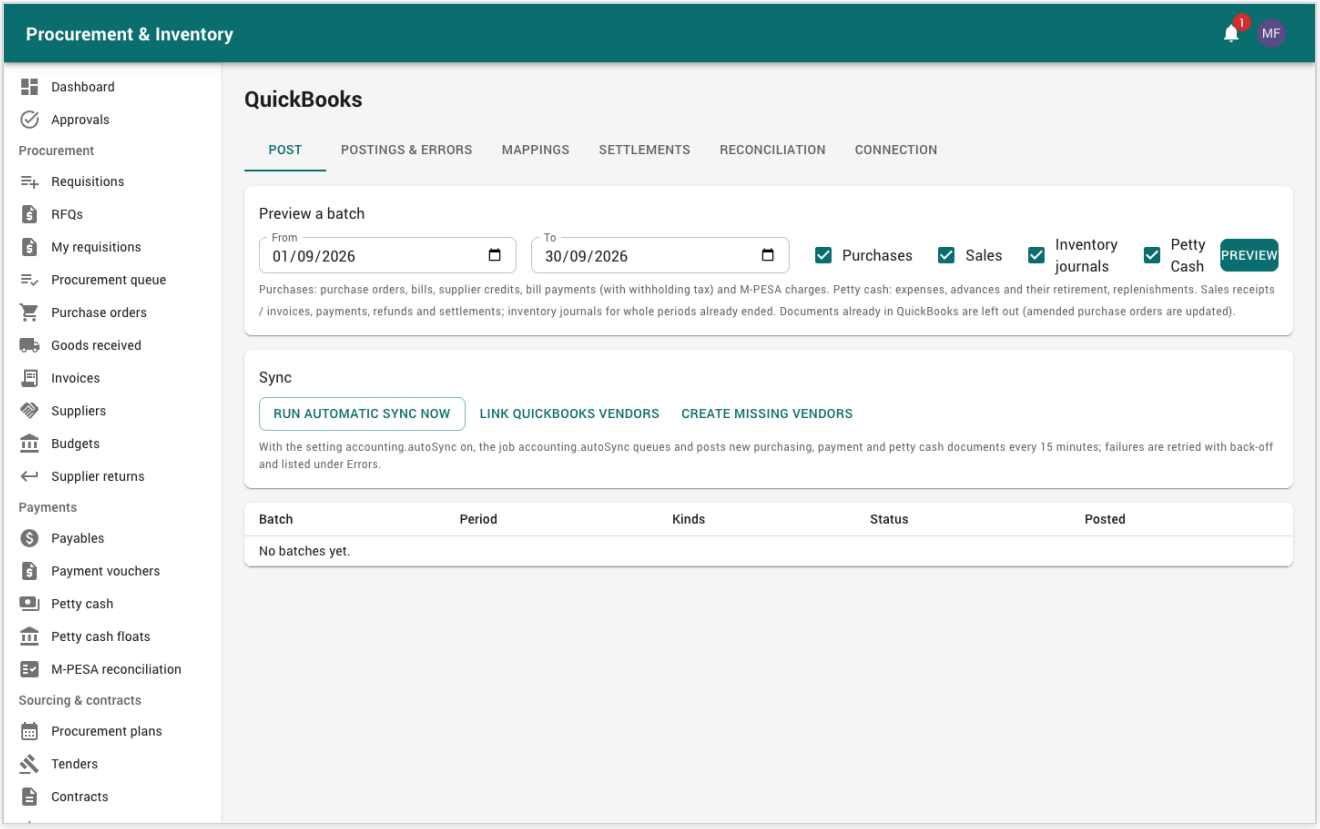
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4. Petty cash (finance side)

- **Floats** (*Payments → Petty cash floats*, `pettycash.manage`): create a float per branch or department with its **custodian**, **float limit**, **per-transaction limit**, **replenishment threshold** (*Replenish below*), cash GL account and whether it *Pays by M-PESA*.
- **Approvals**: Finance checks coding and documents on every petty cash request; the Finance manager approves 10,000–50,000 and above, and **replenishments**.
- **Replenishment**: raised automatically when a float drops below its threshold (or by hand) for the amount up to the limit. After approval, the custodian records the cash received with its reference.
- The custodian's work (paying out, retirements, counts) is in Petty cash custodian.

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5. QuickBooks Online (*Pharmacy & billing → QuickBooks*)



QuickBooks: Post, Postings & errors, Mappings, Settlements, Reconciliation, Connection

Set-up (*Connection*, *Mappings*)

- **Connection**: client ID / secret from the Intuit developer app, sandbox or production, *Connect to QuickBooks*. *Inventory journals from (go-live)*: nothing earlier is posted.
- **Mappings**: map every local key to a QuickBooks account, class or tax code:
    - **control accounts**: AP, AR, GRNI, VAT, stock in transit, adjustments, write-offs, opening balance equity, default bank, **M-PESA clearing**, **WHT payable**, **bank charges**, **staff advances**;
    - per **item category**: inventory, cost of sales, sales income, consumption;
    - per **payment mode / payment method**, per **tax category**;
    - **GL accounts**, and optional **store and department classes**.

  Not mapped counts show the gaps.
- **Vendors**: *Link QuickBooks vendors* matches existing vendors by KRA PIN or name; *Create missing vendors* creates the rest.

What gets posted

Here	In QuickBooks
Approved LPO / LSO	Purchase order (updated when amended)
Approved supplier invoice	Bill (stock lines to GRNI, non-stock lines to their GL account)
Paid voucher	Bill payment (+ vendor credit for WHT)
M-PESA charges	Purchase (bank charges)
Petty cash payment / advance / retirement / replenishment	Purchase / journal entries / transfer
Sales, credit notes, insurer settlements	Sales receipt, invoice + payment, refund / credit memo
Stock movements of a closed month	Inventory journal entry

Posting

1. *Post* → choose the period and kind → *Preview a batch*. Documents missing a mapping are **Blocked**, with what to map. Documents dated on or before the books' closing date are blocked as *Period closed*.
2. Post the **Ready** documents. They go in order (bills before their payments) and are **never posted twice**.
3. With automatic sync turned on, new purchases, payments and petty cash are posted every 15 minutes (*Run automatic sync now* runs it at once).

Errors (*Postings & errors*): QuickBooks unavailable → **Pending**, retried automatically. Rejected → **Failed**: fix the cause (usually a mapping), then *Rebuild and send*.

Each purchase order, invoice, voucher and petty cash voucher shows a **QuickBooks chip**: synced / pending / failed / not sent.

Reconciliation: compares, per account and period, the local documents, what was posted and the QuickBooks movement. A difference means something was entered or changed directly in QuickBooks. **Changes made in QuickBooks do not flow back here.**

Settlements: *Record a settlement* for insurer / corporate payments against their invoices.

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6. Master data

- **Accounts & currencies** (*Pharmacy & billing → Accounts & currencies*): GL accounts (*New account*, or *Import from QuickBooks*), projects, currencies and **exchange rates** (*Save rate*). Foreign documents use the latest rate on or before their date. **Keep rates current**: RFQ comparisons, orders and invoices depend on them.
- **Budgets** (*Procurement → Budgets*): department × vote head × year, amount, and *When exceeded*: *Warn* or *Block approval*.

7. Finance manager

- **Approvals**: orders ≥ 500,000 (after procurement), invoice exceptions, payment vouchers, petty cash 10,000+, replenishments, staff requisitions above 500,000, plan and contract variations.
- **Workflows** (*Approvals → Workflows*): edit approval rules (document type, amount band, department, category, currency) and steps (role or named user, approvals needed, remind / escalate after N hours). Documents already in approval keep the old version.
- **Period locks** for stores and **stock adjustment** approvals.

8. Reports

Reports → Payments: AP ageing · Payments by method · Payment schedule / cash requirement · M-PESA log and reconciliation · Withholding tax and VAT summary. *Petty cash*: cash book, pending, spend, outstanding advances, replenishments. *Procurement*: received not invoiced (accruals), match exceptions, budget vs actual. *Audit*: QuickBooks sync status, payment control exceptions (duplicate payments, split requests, payments with nothing received). *Tax & eTIMS reports*: VAT output and input, credit notes, eTIMS reconciliation.

9. Common messages

Message	Meaning
`USE_PAYMENT_VOUCHER`	Invoices are paid through a voucher, not directly
Release blocked: not fully approved	Wait for every approval level
Release blocked: preparer / approver	Another finance user must release
`ALREADY_DISPATCHED`	The M-PESA payment is already on its way; don't retry
Whole shillings only	M-PESA amounts can't have cents

Message	Meaning
Blocked: not mapped	Add the QuickBooks mapping, then preview again
Period closed	The document is dated in a period closed in QuickBooks